

Minor Project – 5

Merger or Acquisition Report

Company Selected: Zomato – Blinkit (Acquisition Report)

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1. Executive Summary

In June 2022, **Zomato Limited** (changed its name to **Eternal Limited** in 2025) agreed to buy **Blink Commerce Private Limited**, the company that runs the fast-ecommerce platform **Blinkit** (previously called Grofers before 2022). The price was 4,447 crore rupees (approximately US 568 million dollars) and the payment was made entirely with Zomato shares. **The deal was closed on 10 August 2022**. At that time people were not happy with the deal. Blinkit was not making money. Did not have enough money. The price was high compared to its sales. Zomato's shares dropped after the announcement.

Four years later, things are different. Blinkit is now the fast-ecommerce platform in India. It gives than half of the consumer order value for Eternal. It has also started to make money at the adjusted EBITDA level. This report looks at the companies, the price and the way the deal was made the reasons for the deal, how it was paid for the benefits and the risks. Concludes if the deal was good for the company.

Acquirer	Zomato Limited (now Eternal Limited), listed on NSE and BSE
Target	Blink Commerce Private Limited (Blinkit, formerly Grofers)
Announced / closed	24 June 2022 (board approval) / 10 August 2022 (closed)
Consideration	₹4,447.48 crore (about US$568 million) in Zomato shares, plus ₹60.7 crore in cash for a related warehousing business
Structure	Share swap: 62.85 crore new Zomato shares issued at ₹70.76 each
Stake acquired	100% of Blinkit (Zomato already held roughly 9%)
Verdict	Strategically beneficial, with the main risks now being margin and competition

2. Companies Involved

Zomato (now called Eternal Limited), the Acquirer

Zomato was founded in 2008 by Deepinder Goyal and Pankaj Chaddah as a way for people to find restaurants. It grew to be the food delivery company in India. It bought the food delivery business of Uber Eats in January 2020. Had an IPO in July 2021. The IPO made 9,375 crore rupees at 76 rupees per share. At the time of the Blinkit deal Zomato was still not making money. Had a strong balance sheet. It had about 1.6 billion US dollars in cash in March 2022. In February 2025 the company that was listed was renamed to Eternal Limited. Zomato, Blinkit, Hyperpure (which sells supplies to businesses) and District (which deals with going tickets) are all part of the company now.

Blinkit (formerly called Grofers), the Target

Grofers was founded in 2013 as an online grocery store. It got 630 million US dollars from investors like SoftBank, Tiger Global and Sequoia Capital. It became a unicorn in 2021. In December 2021 it changed its name to **Blinkit**. Started giving 10-minute delivery from small stores in January 2022. By 2022 it did not have enough money and fired about 1,600 people. It had trouble Raising funds. Its total order value in May 2022 was 403 crore rupees, which was roughly one-fifth of what Zomato made each month in food delivery. This showed a fast-growing company. Zomato had first invested in 2021 about 100 million USD for about 9% of the company. It also gave Blinkit a loan of 1,125 crore rupees (approx. 150 million USD before the full acquisition.

3. Deal Value

Component	₹ crore	US$ million
Share swap for Blinkit (remaining stake)	4,447.48	about 568
Cash for warehousing business (HOTPL), paid by Hyperpure	60.70	about 8
Total payout	**4,508.18**	**about 578**

There are some things to note about the price.

• **Falling Price:** Talks in 2022 had said the deal could be 700 to 750 million US dollars. Because the price was set in Zomato shares and Zomato's shares dropped the price went down to about 568 million US dollars. The deal valued Blinkit 40% less than its last private valuation, which was (around 1.1 billion USD in August 2021).

• **High Price:** Edelweiss said the price was 21 times the sales for the year that ended in 2022. This was higher than Zomato's 13 times. On an enterprise value basis, including a stock option pool Kotak Institutional Equities said Blinkit was worth about 750 million US dollars, which is 5,860 crore rupees.

• **Total commitment:** Kotak estimated the total investment Zomato put into Blinkit, including the earlier share, the loan and the acquisition at about 1.05 billion USD.

•. **Regulations:** The deal needed approval from shareholders and the stock exchange. No approval was needed from the Competition Commission of India because Blinkit's sales and assets were below the limits.

4. Reason for Merger or Acquisition

Zomato's leaders had a reason for the deal and the situation in the market supported it.

• **Quick commerce is the next big thing:** The leaders said that grocery is the way to help people get into the habit of getting things delivered in 10 minutes. This habit can go on to things like care, electronics and medicine. Blinkit's order value was already catching up with Zomato's in some cities.

• **Higher wallet share and frequency**: Quick commerce helps customers spend more on the platform and order more. The Management thought the average order value would be higher than food delivery. At the time Blinkit's average order was 28% higher than Zomato's.

• **Shared Local delivery network:** Success in quick commerce depends on an efficient way to deliver from the last mile, which is exactly what Zomato is good at with food.

• **Buy rather than build:** Zomato tried making its 10-minute service in 2021. It stopped the service in September 2021 because of problems with the logistics. Buying an existing network of stores supply relationships and a team was faster than building one. Rivals were spending a lot.

• **Defence:** Swiggy had committed 700 million USD to its Instamart service in December 2021. Zepto, BigBasket, Dunzo, Amazon and Flipkart were all getting into the market. Mr. Goyal later said the deal was a 'survival instinct' and that Zomato might not have had a future in the decade without it.

• **Opportunity price:** Blinkit had no money. Its investors had few options. Zomato could buy at a discount to the 2021 valuation and use its own shares, which were not doing well as a way to pay.

5. How the Deal Was Financed

The deal was done with shares. Zomato paid Blinkit's shareholders with Zomato shares instead of cash.

Shares issued	62.85 crore fully paid equity shares of ₹1 face value, on a preferential basis, at ₹70.76 per share (4,447.5 crore ÷ 70.76)
Dilution	About 6.9% of Zomato's fully diluted equity
Price per Blinkit share	About ₹13.45 lakh for each of the 33,018 Blink Commerce shares acquired
Who received shares	Blinkit's investors, mainly venture funds; five large funds took about 80% of the new shares
Lock-in	Blinkit's investors had to hold their Zomato shares for 12 months
Cash element	₹60.7 crore from Zomato Hyperpure for Blinkit's warehousing arm
Related funding	Earlier ₹1,125 crore loan to Blinkit (about ₹575 crore unspent at the deal date); management earmarked a further ₹1,875 crore for quick commerce

Why a share swap was good for both sides: Zomato saved cash from its 2021 IPO for the losses that Blinkit was expected to make. Blinkit's investors, who could not get money else stayed connected to the bigger company. The cost for Zomato's investors was that their shares were diluted by 6.9%. Because the price was fixed at 70.76 rupees Zomato's shares falling to a record low of 41.65 rupees in July 2022 did not change the number of shares given out.

Later Funding: Zomato later invested 2,800 crore rupees into Blinkit between the purchase and early 2025. It also got 8,500 crore rupees through a qualified institutional placement in November 2024 to help expand the fast commerce business. So, the real cost of the deal was more than the price.

6. Expected Benefits

The table shows what benefits were expected in June 2022 and what evidence is there, by September 2026.

Expected benefit	Reasoning in 2022	Evidence by 2026
Entry into a high-growth category	Quick commerce was small but growing fast	Blinkit net order value ₹17,132 crore in Q1 FY27 (+86% year on year); 2,443 dark stores against about 1,544 a year earlier
Market leadership	Scale economies in dark stores and delivery	About 46–50% share of Indian quick commerce; 916.6 million orders in FY26 against 640.2 million (Zepto) and 412.2 million (Instamart)
Path to profit	Blinkit's contribution margin would turn positive with density	Adjusted EBITDA turned positive in Q3 FY26 and reached ₹102 crore in Q1 FY27 (0.6% of order value) from a ₹162 crore loss a year earlier
Group growth and wallet share	Cross-sell to Zomato's customers; larger addressable market	Blinkit is about 55% of consolidated B2C order value (₹17,132 crore of ₹31,120 crore); group adjusted EBITDA ₹555 crore in Q1 FY27, up 223%
Value creation for shareholders	Buying below the 2021 valuation	The 62.85 crore shares issued are worth about ₹19,900 crore at ₹316.80 (17 September 2026), about 4.5 times the ₹4,447 crore paid

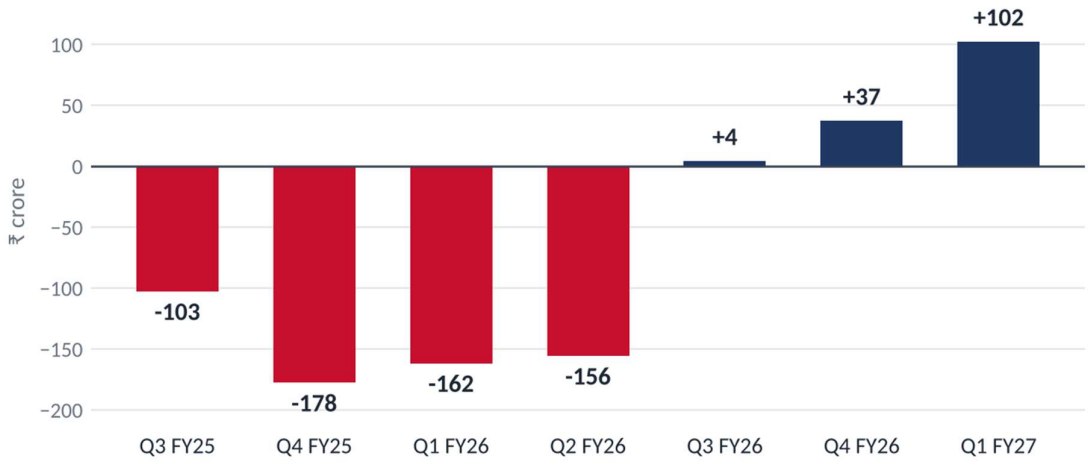


Figure 1: Blinkit adjusted EBITDA by quarter (₹ crore), from loss to profit

Two points of caution apply to these numbers. First the ₹19,900 crore amount shows the increase in Zomato's share price, not just Blinkit but since Blinkit is now the biggest part of the company the connection is clear. Second starting from Q1 FY26 Blinkit started changing from a marketplace model to an inventory-led model so its revenue now includes the value of items sold and cannot be compared with previous years. Order value (NOV) is a way to measure growth.

7. Major Risks

Risk	At the time of the deal	Position in 2026
Cash burn and dilution	Analysts expected the deal to delay Zomato's profitability; Blinkit lost about ₹84 per order and would need more than the US$400 million envisaged	Large capital was needed (₹2,800 crore plus a ₹8,500 crore QIP); the quarterly loss reached ₹178 crore in Q4 FY25 before turning positive
Competition	Instamart, Zepto, BigBasket, Dunzo, Amazon and Flipkart all funding the category	Blinkit leads, but rivals continue to invest; Zepto and Instamart are still loss-making
Thin margins	Unproven economics of ten-minute delivery	Adjusted EBITDA margin only 0.6% of order value against management's 5–6% long-term target
Inventory and operating risk	Complex supply chain, perishables, dark-store leases	About 90% of order value now on Blinkit's own inventory; inventory losses were 1.8% of order value (about ₹308 crore) in Q1 FY27, and input-cost inflation is flagged
Valuation and sentiment	Zomato fell about 14% in two days; record low of ₹41.65 in July 2022	Eternal trades at a very high multiple of current earnings (price-to-book about 7.5), leaving little room for disappointment
Regulatory and social	Gig-worker welfare and dark-store rules unclear	Scrutiny of working conditions for delivery workers continues to rise

8. Conclusion: Was the Deal Strategically Beneficial?

Yes. On the five tests an investment banker would use for a deal the Blinkit acquisition does well on four. Is still being tested on the fifth.

Test	Result	Reason
Strategic fit	Strong	Same hyperlocal delivery model, same customers, higher order value, a larger market than food delivery alone
Price paid	Good, in hindsight	Criticised at 21x sales in 2022, but about 40% below the previous valuation and now worth several times the amount paid
Execution	Strong	Blinkit grew from a distressed business to the market leader and moved from loss to profit; its chief executive now leads the group
Financial return	Positive	Shares issued worth about 4.5x the deal value; group EBITDA rising
Remaining risk	Open	Margins are far below target and competition and operating costs remain high

The deal worked because it was a move that became the company's main source of growth. Without Blinkit, Zomato would have had to face Instamart from Swiggy, Zepto and others in quick commerce without its own platform and it would have stayed exposed to a food delivery duopoly with no space to grow. By buying Blinkit when the funding cycle was at its lowest using shares that were also undervalued, Zomato bought a market leader for discount. The costs were real: 6.9% dilution, several years of losses for the group and the need to bring in more equity. The remaining question is whether Blinkit can increase its margin from 0.6% up to the 5–6% that the management has said they will reach. If they can the original price will look small. If competition keeps margins low the company will have a low-profit business.

Sources

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